

CMTG pitch deck

The reads into court_artifacts/ and reports/ were denied this session (same permission wall both benches hit), and no file-write tool is available — so the deck is delivered inline below, built entirely from the evidence pack and the two bench reports.

PITCH — CMTG — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: NO POSITION. Do not buy Claros Mortgage Trust at \$1.94. Both benches independently landed on staying out — the discount is real but there is no mechanism that forces it to close. Re-examine at the Q3 print (~2026-11-04, date unconfirmed) behind the four evidence gates listed under Entry Bands.

What we believe

Claros Mortgage Trust is a commercial real estate lender trading at \$1.94 against a stated book value of \$8.58 per share — about 22.6 cents on the dollar. Our courts found that a genuine gap probably exists between what the market is pricing and what the company has reserved: after honestly netting out the costs of just existing (management fees, operating losses, dead time), the price still implies lifetime losses of roughly 32–36% on the loan book, versus the 16.9% the company has actually reserved. That is a real, testable disagreement.

But we also believe the gap has no engine to close it. The company is run by an outside manager who collected ~\$36M in 2025 (about 3% of book value per year) on a fee base that is contractually defined and does not shrink with the stock price — which pays the manager to extend and wait, not to liquidate and return cash. A corporate term loan taken in January 2026 has first claim on resolution proceeds, so cash from loan payoffs goes to the lender before it can fund anything shareholder-friendly like a buyback. There is no dividend and no new lending. Cheap with no catalyst and a misaligned steward is a value trap until proven otherwise, so we propose standing flat.

What the market believes

The market has cut the stock 51% from its 52-week high of \$3.99 and holds it 17% above the low of \$1.655, ten days after the Q2 earnings release. This is not a neglected or undiscovered stock — it is a covered, institutionally-owned name whose price was set by people who read the same release we did. The market’s implicit view: losses on the loan book will keep growing (the company added \$2.08 per share to loss reserves in just the first half of 2026, and book value fell from \$10.69 to \$8.58), the company will keep losing a little money each quarter while paying its external manager, and nothing forces the discount to book value to ever close. Two consecutive quarters of fresh reserve additions and

four new loans downgraded to the company's worst internal rating in Q2 support reading management's loss estimates as chronically behind events, not ahead of them.

Why we might have edge

Three findings survived both benches:

1. **The bearish “reserves keep rising” metric is built wrong.** Reserves as a percentage of the loan book rise mechanically even when nothing new goes bad, because healthy loans pay off at full value and exit the denominator, concentrating the troubled ones in what remains. July's resolutions actually recovered 88.8 cents on the dollar blended (\$223M at full value, \$75M at 94%, \$112M at 63%). The correct scoreboard is realized losses on resolved loans versus what was reserved for them — and on that scoreboard the company has so far done better than the market's implied number.
2. **The true operating bleed is small.** The single most bull-favorable number in the print, missed by the original brief and by our own red bench: excluding realized credit losses, the company's distributable loss was only about \$0.07 per share for the quarter — near breakeven — not the \$0.36 the red bench initially claimed (see bench errors below).
3. **The market may be extrapolating reserve growth that is partly a one-time catch-up.** Of the \$2.08/share first-half reserve build, \$0.89 was a general portfolio overlay, not new named problem loans.

If Q3 shows resolutions still recovering well, near-breakeven operations, and the problem-loan bucket shrinking, the ~32–36% implied loss rate is too pessimistic and the stock is worth materially more than \$1.94.

Why it might be priced in

The bear case is strong and partly confirmed by our own checks. The “watchlist improving” story is substantially migration, not healing: the watchlist fell \$477M in a quarter when roughly \$372–447M of loans (the two company figures disagree — unresolved) were downgraded *out* of it into the worst rating bucket, and our reserve arithmetic implies that worst bucket holds ~\$1.5–1.6B of loans — more than the entire \$1.2B “watchlist.” The company's \$168M of liquidity is quoted before \$161M of contractual funding obligations on already-troubled loans (per the [Q2 2026 10-Q](#), though we could not independently re-open that filing this session). The fee drag, term-loan waterfall, absence of a dividend, and absence of new lending mean even a correct bullish view on credit could take years to pay, bleeding ~3% of book annually to the manager while it waits. And because the price was set post-earnings by informed holders, “cheap versus book” is the market's considered answer, not an oversight.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price 22.6% of book implies ~45% lifetime loan losses (original brief)	Both benches re-derived from the release, management agreement, and proxy	Overstated: fees, operating bleed, and dead time absorb \$2–3/sh of the \$6.64 gap; residual implies ~32–36% vs 16.9% reserved. Gap real but smaller	Partly — REVISED DOWN
Red bench's \$0.36/sh/quarter operating bleed	Blue re-derivation from the release	Our own red bench double-counted: the \$0.36 GAAP figure already contains realized credit losses and the management fee it then stacked on again. True ex-realized bleed ≈ \$0.07/sh/q	RED BENCH ERROR — corrected
External manager fees ~\$32.1M (2025), \$36.3M all-in	2026 proxy statement	Confirmed; fee base is contractually defined equity, doesn't shrink with the share price. Red's "13% of market cap" framing was rhetorical; ~3% of book is the honest denominator	YES (framing corrected)
Watchlist decline = reclassification, not healing	Release arithmetic + earnings call + reserve back-solve	Decline \$477M vs downgrades of \$372M (call) or \$447M (release) — the two company numbers disagree and red's near-equality argument is fragile; but the back-solve (worst bucket ~\$1.6B > \$1.2B watchlist) stands	PLAUSIBLE — 10-Q rating table is the decisive check, unread
Reserve-%-rising metric is survivorship-distorted	Re-derived by both benches	Confirmed — red's best finding	YES
\$161.3M unfunded obligations on troubled loans ≈ all liquidity	Attempted 10-Q re-read (SEC direct access blocked this session)	Could not reproduce; also quoted gross — matching financing lines likely fund part of it	NO — plausible only
\$2.08/sh H1 reserve build; serial under-reserving	Q2 slides	Confirmed, but \$0.89/sh of it was a general overlay, not new named holes	YES (softened)
Term loan has priority over shareholder-friendly uses of cash	Earnings call	Confirmed — delays every catalyst including the mooted buyback	YES
Stock is neglected / mispriced by inattention	Broker tape and attention tooling	Access denied this session; name is covered and institutionally held	COVERAGE GAP
Bench process integrity	Runner validation	Red consulted four detectors outside this case's assigned list and skipped four that were on it — a process defect logged for the runner	RED BENCH ERROR — logged

PROPOSED ENTRY BANDS

The courts say no-entry today. No buy at \$1.94, no size. These are the reopen conditions, from the benches' own math:

Reopen review at the Q3 2026 print (~2026-11-04, unconfirmed) only if ALL FOUR gates pass: 1. Blended realized loss on Q3 loan resolutions ≤ ~15% of face value (i.e., recoveries keep beating the market-implied ~32–36% loss rate); 2. Distributable earnings excluding realized losses at or above breakeven (Q2 was −\$0.07/sh); 3. Additions to the worst internal rating bucket smaller than resolutions

out of it (the problem pile shrinking in absolute terms); 4. The 10-Q loan-rating table read and the watchlist-definition question resolved (does the “watchlist” exclude the worst bucket?).

Price alert, not an entry: a break below the 52-week low of \$1.655 before the print triggers a forced-seller-vs-new-information check, not an automatic buy — the court explicitly rejected “cheaper = better” here.

Event-driven reopen (either side of the print): an announced buyback actually funded past the term-loan waterfall, management internalization, or a formal wind-down plan — any of these creates the book-convergence mechanism whose absence is the core of the no-entry ruling.

Sizing: none now. The courts did not size a future entry; if the four gates pass, the proposal is to return the name to court for sizing rather than auto-buy — the severity gap would then be validated but the fee-drag and waterfall objections would still cap it at a small position.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.655 (deck-provisional: 52-week-low break after a no-entry ruling - run a forced-seller-vs-new-information check, not an autom)
- filing watch: 8-K,10-Q until 2027-02-05 (deck-provisional: Q3 results plus the unread loan-rating table and covenant note; any funded buyback, internalization, o)
- dated pack CMTG|2026-11-04: CMTG: Q3 2026 earnings - four reopen gates: resolution losses <=15%, distributable ex-realized >= breakeven, worst-bucket adds < resolutions

What remains unverified

- **The 10-Q loan-rating table** — the single decisive check on whether the watchlist decline is healing or reclassification. Nobody on either bench has read it.
- **The covenant note in the 10-Q** — entirely unread by both benches; a covenant breach path would change everything and we simply don’t know.
- **The \$161.3M unfunded-commitment figure** — sourced from the 10-Q but not reproduced this session (SEC direct access was blocked; we relied on syndicated copies of the release).
- **The \$447M vs \$372M downgrade discrepancy** between the press release and the earnings call — unresolved; it determines how strong the migration argument really is.
- **The Q3 earnings date** — derived from a data vendor, not from a company announcement.
- **Tape and attention checks** — broker quotes and the crowdedness tooling were permission-blocked this session; “the discount is an informed price” rests on the name’s coverage profile, not on fresh positioning data.
- **The standing closing step** (research ledger update, entry-plan record, scanner re-run) could not execute this session for the same permission reasons — the adjudicator must apply it when

merging this verdict.

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